COMPENSATION AGREEMENT

This Compensation Agreement (the "Agreement") is made and entered into as of ____________________, 2019, by and among the CITY OF BRECKSVILLE, OHIO (the "City"), a municipal corporation organized and existing under the constitution, its Charter, and the laws of the State of Ohio with its principal offices at 9060 Brecksville Road, Brecksville, Ohio 44141, the BRECKSVILLE-BROADVIEW CITY SCHOOL DISTRICT (the "School District"), a public school district with its principal offices located at 6638 Old Mill Road, Brecksville, OH 44141, and DiGERONIMO DEVELOPMENT LLC (the "Developer"), an Ohio limited liability company with its principal offices located at 5720 E. Schaaf Road, Independence, Ohio 44131.

WITNESSETH:

A. The City and the Developer, together with the Brecksville Community Improvement Corporation (the "CIC"), have entered into a Development Agreement dated as of June 19, 2018 (the "Development Agreement"). Pursuant to the Development Agreement, the Developer intends acquire all or a portion of the 103.049 acre site formerly known as the Brecksville Division of the Louis Stokes VA Medical Center (the "Site") from the CIC, as transferee of the City, in phases, and to develop or redevelop the Site as a mixed-use development (the "Development"). The Development will benefit the City and its residents by creating jobs, enlarging the property tax base, enhancing income tax revenues and stimulating collateral development in the City.

B. Pursuant to Ohio Revised Code Sections 5709.40, .41, .42, and .43 (together with related provisions of the Ohio Revised Code, the "TIF Act") the Developer has requested the City to, among other actions: (i) establish a tax increment financing program with respect to the real property that will be developed and redeveloped in phases on the Site (the "TIF"); (ii) declare 100% of the increase in assessed value of the real property comprising the each phase of the Site (which increase in assessed value is also hereinafter referred to as the "Improvement" as defined in the TIF Act) following the effective dates specified in the TIF Ordinances to be a public purpose and exempt from real property taxation for the duration of the TIF Exemption; (iii) provide for service payments in lieu of taxes (the "Service Payments") as obligations running with the land for the duration of the TIF Exemption payable with respect to the real property comprising the each phase of the Site; (iv) authorize the payment from the Service Payments of certain costs of (A) the Public Infrastructure Improvements (as such term is defined in the TIF Act and further specified in the TIF Ordinances) and (B) acquiring, constructing, improving, furnishing and equipping real property for economic development; and (v) authorize this Agreement.

C. The City proposes to enact the following ordinances (collectively, the "TIF Ordinance") on or after _______________, 2019, as follows:

1. a TIF Ordinance (the "Phase I TIF Ordinance") for the parcels comprising the approximately 23-acre site on the southern portion of the Site (the "Phase I Parcels"). The Phase I TIF Ordinance will exempt one hundred percent (100%) of the increase in the assessed value of the Phase I Parcels subsequent to the acquisition of the Phase I Parcels by the City (the "Phase I Improvements")

from real property taxation on the Phase I Parcels for a period of thirty (30) years, commencing on the effective date of the Phase I TIF Ordinance and ending on the earlier of (i) December 31, 2049 or (ii) the date the Phase I Improvements cease to be a public purpose;

2. a TIF Ordinance (the "Phase II TIF Ordinance" and, together with the Phase I TIF Ordinance, the "TIF Ordinances") for the parcels comprising the approximately 76-acre site on the northern portion of the Site (the "Phase II Parcels"). The Phase II TIF Ordinance will exempt one hundred percent (100%) of the increase in the assessed value of the Phase II Parcels (the "Phase II Improvements" and, together with the Phase I Improvements, the "Improvements") from real property taxation on the Phase II Parcels for a period of thirty (30) years, commencing for each separate Phase II Parcel with the tax year in which the value of the Phase II Improvements on that Phase II Parcel is at least Ten Million Dollars ($10,000,000), and ending on the earlier of (1) the date the Phase II Improvements on that Phase II Parcel have been exempted from taxation for a period of 30 years or (2) the date on which the City has collected into the Municipal Tax Increment Financing Fund established in the Phase II TIF Ordinance a total amount of Service Payments available for and sufficient to pay the costs of the public infrastructure improvements described in the Phase II TIF Ordinance;

and in the TIF Ordinances the City will authorize the execution of a Tax Increment Financing Agreement (the "TIF Agreement") between the City and the Developer, for itself and its successors and assigns as owners of all or a portion of the Site, providing for, among other things, the obligation of the Developer and its successors and assigns to make payments in lieu of taxes ("Service Payments") in an amount equal to the taxes that the owners would have paid with respect to such Improvements;

D. The City and the School District will derive substantial and significant benefits from the Improvements; and

E. On [April 24], 2019, and prior to the passage of the TIF Ordinance, the Board of the School District adopted a resolution granting its approval of this Agreement and the exemption of the real property taxes on the Improvements as provided in the TIF Ordinance and waived any further requirements of the TIF Act and Sections 5709.82 and 5709.83 of the Ohio Revised Code on the condition that the City and the Developer execute and deliver this Agreement; and

G. To facilitate the construction of the private improvements to the Site, the financing of "public infrastructure improvements" (as defined in the TIF Act) that, once made, will directly benefit the Site, to permit the acquisition, construction, improvement, furnishing and equipping of real property for economic development, and to compensate the School District for a portion of the real property taxes that the School District would have received had the Site been improved and not been exempted from taxation, the City, the Developer and the School District have determined to enter into this Agreement, which Agreement is in the vital and best interest of the

City and the School District and will improve the health, safety and welfare of the citizens of the City and the School District;

NOW THEREFORE, in consideration of the premises and covenants contained in this Agreement, the parties agree as follows:

Section 1. School District Approval and Agreement. In consideration of the compensation to be provided to it under this Agreement, the School District hereby approves the TIF Exemption in the amount of 100% for up to 30 years, as provided for in the TIF Ordinances and waives any payment of income tax revenues derived from new employees at the Site as provided in Section 5709.82 of the Ohio Revised Code.

Section 2. Compensation Payments to School District. (a) The parties agree that, as consideration for the School District's agreement in Section 1,

(i) commencing with the first collection year in which Service Payments are received by the Cuyahoga County Treasurer (the "Treasurer") with respect to the Site or a portion thereof, and ending with the thirtieth collection year in which Service Payments are received by the Treasurer with respect to the Site or any portion thereof, the School District shall not receive any portion of the real property taxes that would have been distributed to the School District but for the TIF Exemption. During such period, the City shall cause the Treasurer to pay semi-annually to the School District, as Compensation Payments, but solely from Service Payments received by the City, an amount equal to twenty-five percent (25%) of the real property taxes that the School District would have received, but for the TIF Exemption.

(ii) In addition, the City shall cause the Treasurer to pay to the School District, but solely from Service Payments, an amount equal to one hundred percent (100%) of the Real Property taxes that the School District would have received, but for the TIF Exemption, that are derived from any Tax Increase Amount. As used herein, "Tax Increase Amount" means, for each year that this Agreement is in effect, the portion, if any, of the Service Payments derived from (a) additional property tax levies approved by the voters of the School District after January 1, 2019 and any renewals or replacements of such levies, and (b) a renewal levy or a replacement levy with an increase, replacing or renewing, as applicable, a levy in existence as of December 31, 2019, to the extent such renewal or replacement levy exceeds the stated tax rate of the levy as it exists immediately prior to being replaced or renewed; provided, however, that an additional property tax levy approved by the voters of the School District within one year of the expiration or discontinuance of a then-existing levy shall not be treated as an additional levy unless the expired or discontinued levy is a levy described in clause (a) above.

(b) The payments specified in subsections (i) and (ii) shall be made only to the extent that the Treasurer actually receives Service Payments in an amount equal to the real property taxes that the School District would have received, but for the TIF Exemption. Amounts received by the

School District in accordance with subsections (i) and (ii) of this Section 2 are collectively referred to herein as "TIF Revenue Payments." In the event that in any year the amount of Service Payments actually received by the Treasurer are not equal to the TIF Revenue Payments to be received under this Section 2, such amounts shall be carried forward and will be payable from amounts received in future years after reimbursement of the School District for the applicable percentage of taxes that the School District would have received in such future year. In the event that the valuation of the Site or any portion thereof is challenged by an Owner or by the School District and the result of such challenge is an increase or decrease in the assessed valuation of such parcel which increase or decrease is finally determined, either through all appeals or after expiration of any appeal period, in a later collection year, the TIF Revenue Payments due to the School District in the year of such final determination shall be increased or decreased to reflect such increased or decreased valuation.

Section 3. Timing of Payments. The Treasurer shall distribute the TIF Revenue Payments to the School District in accordance with law. The records of the City relating to the amount of any TIF Revenue Payment shall be made available to the School District for audit annually by the treasurer of the School District or by an independent auditor of the School District's choice and at its sole expense.

Section 4. No Contest. The School District agrees that while the TIF Exemption is in effect, neither it nor anyone acting on its behalf shall file a complaint pursuant to Section 5715.19 of the Ohio Revised Code or otherwise seeking to increase the value of the Phase I or Phase II Parcels or any Improvements thereto from the value assigned thereto by the County Fiscal Officer.

Section 5. Developer Contribution. The Developer agrees that it shall contribute the Developer Contribution to the School District to be used as determined by the Board. As used in this Section 5, the "Developer Contribution" shall be equal to fifty percent (50%) of the amount of real property taxes exempted pursuant to the TIF Ordinance in the first year that the value of the Improvements as completed first appears on the tax duplicate for such Parcels (the "First Year Exemption"). Inasmuch as the First Year Exemption will not appear on the tax duplicate prior to the closing of construction financing for the Phase I Development, the Developer shall provide an estimate of such First Year Exemption (the "Estimated Exemption") for the Phase I Parcels to the School District not later than five (5) business days prior to the closing of construction financing.

The Developer Contribution shall be paid as follows:

(a) Two Hundred Fifty Thousand Dollars ($250,000) shall be paid to the School District within thirty (30) days after the passage of the TIF Ordinances by the City; and

(b) The balance of the Estimated Exemption shall be paid to the School District upon closing of construction financing for the Phase I Development.

When the full value of the Phase I Improvements first appears on the tax duplicate for the Phase I Parcels, the Developer shall compute the exact amount of the First Year Exemption for the Phase I Parcels. If the Estimated Exemption was greater than the exact amount of the First Year Exemption, the difference between the amount paid and the First Year Exemption shall be credited to the Developer against future payments due to the School District. If the Estimated Exemption was less than the exact amount of the First Year Exemption, the Developer agrees to pay to the School District an amount equal to the difference between the amount paid and the First Year Exemption not later than April 30 of the calendar year in which the exact amount of the First Year Exemption is determined.

The Developer covenants and agrees that the Developer will invest at least Seventy-Five Million Dollars ($75,000,000) in Phase I of the Development, including the value of the Phase I Parcels, the costs of public infrastructure improvements (including, without limitation demolition and environmental remediation), and Improvements to the Phase I Parcels.

With respect to subsequent exemptions of Phase II Parcels or any subsequent phase, the Developer shall pay the Developer Contribution to the School District based on an Estimated Exemption not later than the closing of construction financing for each Phase II Parcel or additional phase, and the Developer and the School District shall calculate the Developer Contribution based on the exact amount of the First Year Exemption as provided in the preceding paragraph; provided, however that if the Estimated Exemption related to the last-to-be-developed Parcel described in a Phase II TIF Ordinance is greater than the First Year Exemption for that Parcel, the School District shall refund to the Developer the amount of overpayment not later than April 30 of the calendar year in which the exact amount of the First Year Exemption for that Parcel is determined.

Section 6. Sharing of Information. The City agrees to cooperate to share information with the School District as to its receipt of Service Payments upon request of the School District, subject to any restrictions imposed by law, and shall provide the School District with a copy of information it sends to the State to comply with annual reporting requirements in connection with the exemption under the TIF Ordinance.

Section 7. Amendment. This Agreement may be amended or modified by the parties only in writing, signed by both parties to the Agreement.

Section 8. Entire Agreement, Waiver of Notice. This Agreement sets forth the entire agreement and understanding between the parties as to the subject matter hereof and merges and supersedes all prior discussions, agreements, and undertakings of every kind and nature between the parties with respect to the subject matter of this Agreement. The School District hereby waives any notice requirements set forth in the TIF Act or in Sections 5709.82, 5709.83 and 5715.27(D) of the Ohio Revised Code with respect to the TIF Exemption and waives any defects or irregularities relating to the TIF Exemption.

Section 9. Notices. All payments, certificates and notices which are required to or may be given pursuant to the provisions of this Agreement shall be sent by the United States ordinary mail, postage prepaid, and shall be deemed to have been given or delivered when so mailed to the address set forth in the first paragraph of this Agreement, to the attention of the Mayor, the Superintendent or the Manager, as applicable. Any party may change its address for receiving notices and reports by giving written notice of such change to the other parties.

Section 10. Severability of Provisions. The invalidity of any provision of this Agreement shall not affect the other provisions of this Agreement, and this Agreement shall be construed in all respects as if any invalid portions were omitted.

Section 11. Counterparts. This Agreement may be executed in any number of counterparts, all of which taken together shall constitute one and the same instrument, and any party to this Agreement may execute this Agreement by signing any such counterpart.

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Signature Page Follows

IN WITNESS WHEREOF, the parties have caused this Agreement to be duly executed and delivered on the date set forth above.

CITY OF BRECKSVILLE, OHIO

By:_______________________________
Mayor

BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT

By: _______________________________
Superintendent

By: _______________________________
Treasurer

By: _______________________________
President of the Board of Education

Approved as to legal form:

____
Law Director

DiGERONIMO DEVELOPMENT LLC

By:_______________________________

Name:_____________________________

Title:_____________________________

SECTION 5705.41
CERTIFICATE OF AVAILABILITY OF FUNDS

The undersigned, Director of Finance of the City of Brecksville, Ohio (the “City”), hereby certifies in connection with the Compensation Agreement among the City, the Brecksville-Broadview Heights City School District, dated _______________, 2019, that:

The amount required to meet the contract, obligation, or expenditure for the attached, has been lawfully appropriated for the purpose, and is in the treasury or in process of collection to the credit of an appropriate fund, free from any outstanding obligation or encumbrance.

IN WITNESS WHEREOF, I have hereunto set my hand this ______ day of ____________, 2019.

____
Director of Finance

Dated: ____________, 2019